Policy FAQs

Why doesn't CPF Board start my payouts automatically at my Payout Eligibility Age (PEA)?

We do not assume every member wants to start their payouts at their Payout Eligibility Age (PEA), especially since there are benefits to starting payouts later.

Your CPF savings earn interest of up to 6% per year. Hence, the later you start your payouts, the larger your Retirement Account (RA) savings will grow to. This increase in RA savings will provide you with monthly payouts that are higher and/or last for longer.

Starting payouts automatically at PEA means automatically denying members these benefits.

This is why it has been a long-standing practice for members to instruct CPF Board when you wish to start your payouts. You are in the best position to decide based on your individual circumstances.

Did you know? For every year deferred, your CPF LIFE payouts increase by up to 7%. For 5 years of deferral, your CPF LIFE monthly payout could increase by up to 35%.